

BRY (N.Y.S.E.)			BEATRICE CREAMERY CO.		
Stock	Rating	Dividend	Price	Date	Yield
Common	Switch	None	12 ¹ / ₂	10/17/33	None
\$7 Preferred	Switch	\$7	72		9.9%

COUNSEL: In view of near term uncertainties, holdings of the COMMON and PREFERRED shares should be switched to issues with more promising prospects. POSITION & PROSPECTS: Dairy operations remain under the handicap of the industry's unfavorable statistical position. Milk production is well in excess of consumption requirements, and this situation not only has resulted in the building up of record sized stocks of butter and cheese but also has prevented sustained price strength in these commodities. Price advances on fluid milk, instigated mainly by state milk control boards or AAA marketing agreements, have been passed on almost entirely to farmers. In addition, earnings of the company for the six months ended August 31, last, were adversely affected by increased costs under the NRA and by unsatisfactory ice cream sales during the peak months of July and August. Share returns for the period amounted to \$4.47 on the preferred and \$0.28 on the common, against \$6.34 and \$0.82, respectively, for the like interval a year earlier. Because of seasonal factors, an even smaller profit is indicated for the final half. Recovery promises to be slow until the excessive milk supplies are eliminated. FINANCIAL POSITION is strong.

BACKGROUND: Beatrice is the third largest unit in the dairy products industry. Formerly deriving the major portion of its earnings from butter, the company in recent years has considerably expanded its activities in ice cream and milk; in addition, it distributes cheese, eggs, and poultry. Properties are located mainly in the Middle West, but extension into eastern and Pacific Coast markets also has been effected.

CAPITALIZATION: Funded debt, none. 7% cum. preferred (\$100 par) 107,851 shares. Common (\$25 par) 377,719 shares.

	Earnings*		Dividends†		Price range‡	
	Com.	Pfd.	Com.	Pfd.	Com.	Pfd.
1933	\$0.84(d)	\$4.03	None	7.00‡	27-7	85-45
1932	3.54	19.30	\$2.50	7.00	43 ¹ / ₂ -10 ¹ / ₂	95-62
1931	7.12	32.49	4.00	7.00	81-37	111-90
1930	7.31	34.02	4.00	7.00	92-62	109 ¹ / ₄ -101 ¹ / ₄

* Years ended February 28.

† Calendar years.

‡ Continuance possible.